

Fearnleys Tanker Market Wrap-up Nov/Dec 2024

Dec 16, 2024

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Not over just yet

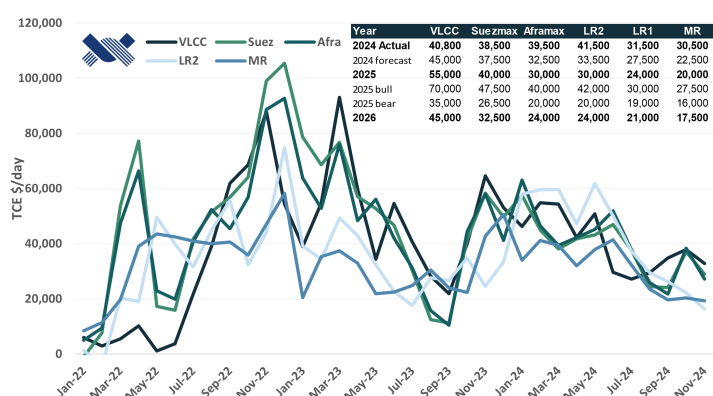
The year comes to a close at unseasonably low levels, although has on average been in line with our expectations. While sentiment is currently dire, next year looks much more promising for crude tankers, especially VLCCs. The outlook for product tankers is subdued which should realign earnings between the tanker segments. We adjust our forecasts for 2025-26 correspondingly.

In a base case scenario for next year, we expect strong crude tanker tonne-mile growth (up toward 5%) on strong Atlantic crude oil production growth. Gross fleet growth of just 1.6%, may give zero net fleet growth. Due to a likely softer start to the year than previously expected, given current weakness, we lower our forecast for the full year slightly. Still, much stronger volume growth than last year, plus potential Iran sanctions in the mix means the outlook remains very strong.

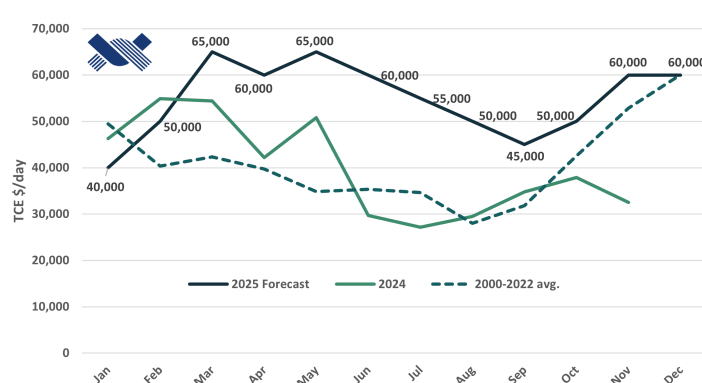
Product tanker tonne-miles are in a base case 'only' expected to grow by 1-2% on normalised refinery margins and slower throughput growth. The latter should also be located closer to end-user demand growth. Meanwhile, the product tanker delivery schedule gives 5.7% gross fleet growth - or closer to 3% effective fleet growth. We lower our forecasts as risks stack more to the down- than upside.

Various scenarios could tilt earnings development, thus we outline a base, bear and bull case for next year. Due to increasing fleet growth the following year we expect a slightly softer rate trajectory.

Rates and forecast



VLCC forecast curve 2025



Market outlook scenarios

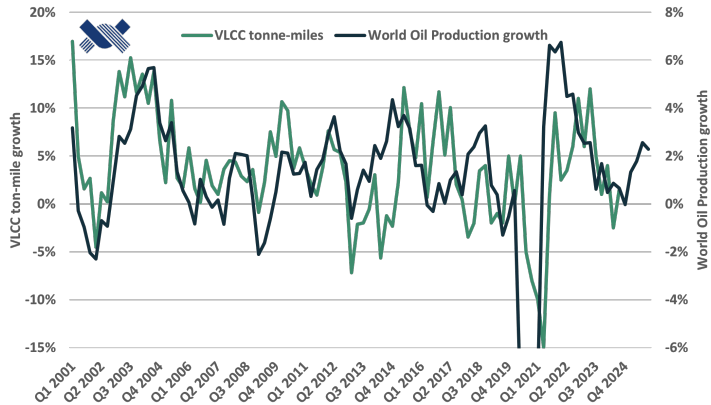
Base case: strong production growth from Non-OPEC+ and some from OPEC+ producers should boost tonne-mile demand meaningfully vs. this year's sluggish growth, although there may be slight downside risk to the IEA's current non-OPEC+ expectations. More stimulus in China may pave the way for a demand recovery - and an oversupplied oil market should lead to inventory builds there too, to fill increasing storage capacity. Oversupply and contango may also tilt market balances toward the favour of bigger vessels and mean normalising rate relations between the segments.

Bull case: Non-OPEC+ producers may live up to strong growth expectations and a harder clamp-down on Iran by the Trump administration may give more volumes to the normal market, potentially boosted further through the OPEC+ reversing some cuts to offset any Iranian supply losses - especially if (Chinese) oil demand surpasses current estimates.

Bear case: Non-OPEC+ production growth may come in well below expectations along with further OPEC+ cuts if demand also surprises to the downside. This could leave less volume upside, and may continue to constrain West-East movement.

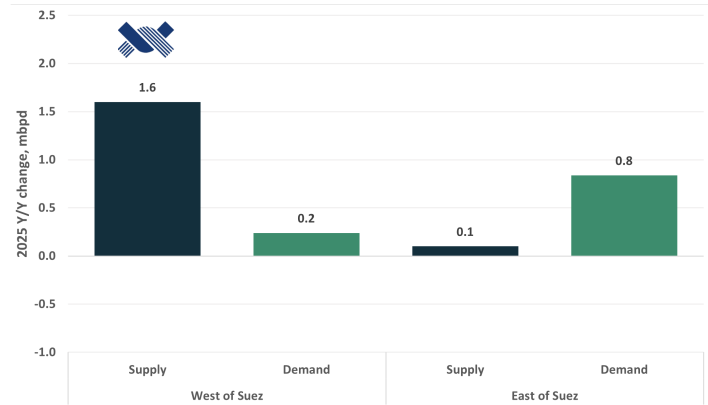
For 2026 we also lower our forecasts due to higher fleet growth for most segments, and potentially lower volume growth. There are scenarios to be made for both up- and downside, in line with the 2025 scenarios.

Crude tanker tonne-miles vs. crude oil production growth



Source: EIA, IEA

Oil supply and demand by basin



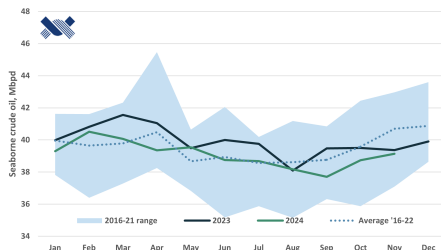
Softer market development than expected recently

Crude tanker volumes rose month over month in November, but was still slightly below the same time last year. Products caught back up after slumping in October due to refinery maintenance. In December to date volumes have continued to rise in both markets due to some outages and maintenance ending and some production increases.

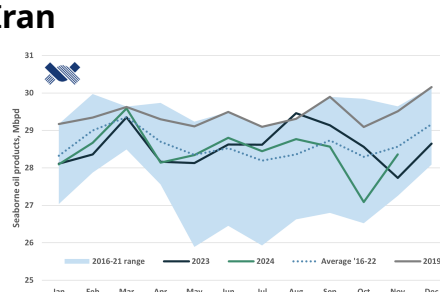
Volumes overall have been flattish YTD vs. the same period last year, also if Iranian volumes are excluded. There has, however, been a meaningful decline in Atlantic-East volumes in the second vs. first half of the year, due to an insufficient arbitrage - partly caused by the Red Sea 'closure'. The latter has also caused less migration of tonnage West-East and left the Atlantic basin artificially oversupplied.

A bigger volume boost can be expected into the first quarter of next year. Q1 volumes for crude tankers have been higher than the historical norm during the last two years, as Atlantic producers are bigger seaborne export drivers than in the past. Due to seasonally lower demand in the region through the first few months of the year, a relatively greater portion of crude oil production can be exported. Next year, production hikes may come on top of that, although more of the increased production is expected toward the summer.

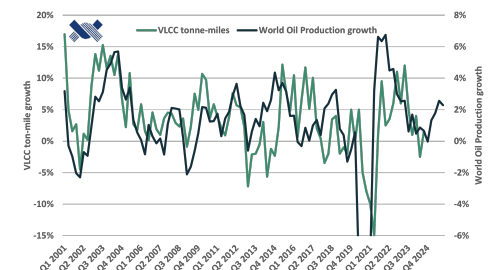
Crude tanker volumes ex. Iran Product tanker volumes ex. Iran



Source: Vortexa, Fearnleys



Total tanker tonne-miles

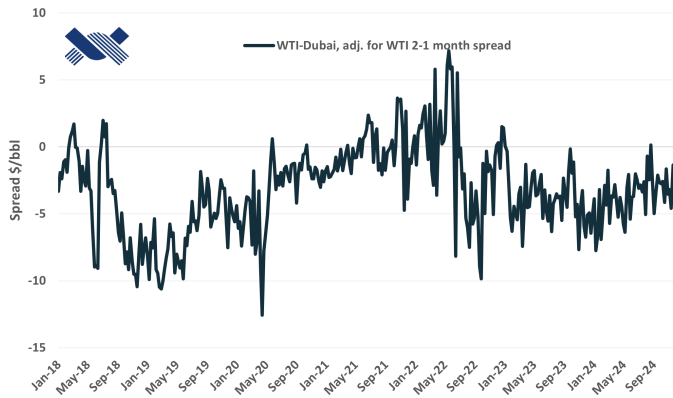


Seasonality may at the moment be working against long-haul crude oil shipments, with oil restrictive pricing in recent months. Higher natural gas prices in Europe due to shorter supplies and more rapid inventory draws than in previous years, and reliance on intermittent renewable energy, have also led to strengthening demand (as observed through rising gasoil crack spreads), all else equal contributing to narrower West-East arbitrages. On the other hand, less crude especially going USG-East has left more going Transatlantic, which has boosted Suez- and Aframax rates.

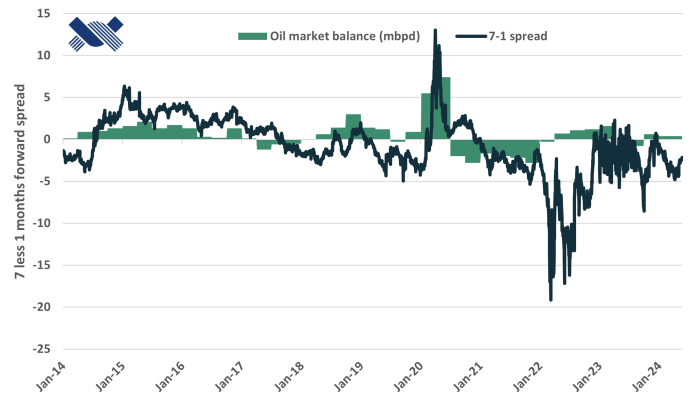
Given the expectations of an oversupplied oil market into the first half of next year, however, we expect this dynamic to change. We should get an oil price forward curve contango which incentivises longer-haul shipping. There has at times even been some market chatter about potential for floating storage, which on paper could be supported if IEA balances are correct - showing 1.2 mbpd oversupply in Q2, although that is not the most realistic scenario.

The tanker demand outlook for 2025 is in any case very promising, starting with a catch-up trade in Q1 with western refineries slowing purchases ahead of spring maintenance, and continuing into late spring and early summer when new (offshore) production projects come onstream in the Americas and North Sea.

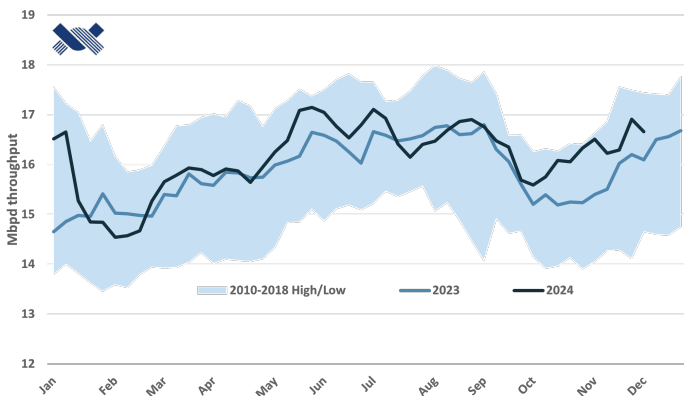
Relative pricing, WTI vs. Dubai



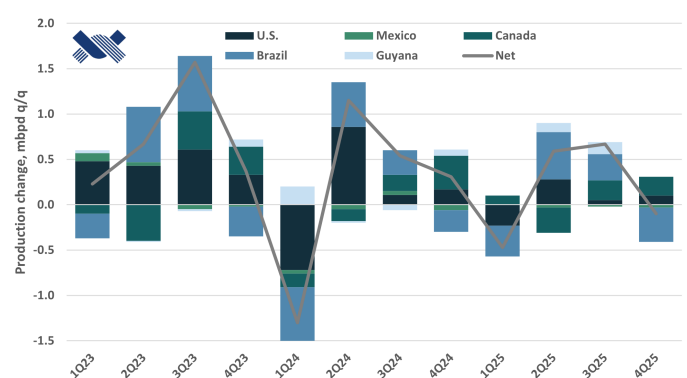
Brent 7-1 month forward spread



U.S. refinery runs



Americas oil production growth (q/q)

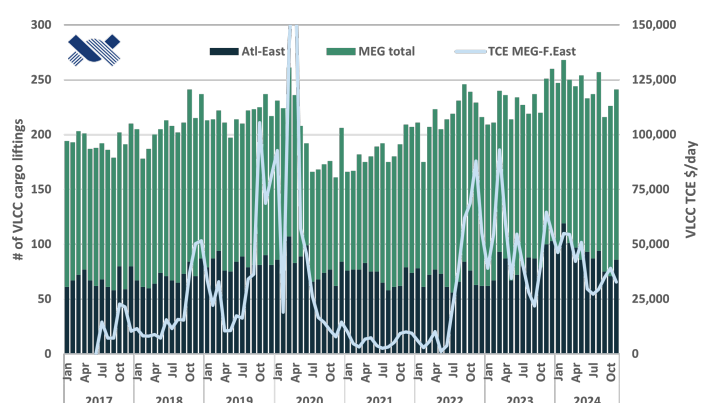


Source: Bloomberg, EIA

Our November global VLCC cargo count was about 240, which is ten more than the average of June-Oct (when TD3c averaged WS 52), and closer to the Mar-May average (when TD3c averaged WS 67). The Nov'23 count was 250, but then rates were also about \$25k/d higher than this year. Hence, there is 'something missing' here - partly explained by charterer's well proven 'below radar' tactics and partly by an overhang of vessels from the weaker months earlier. The Atlantic cargo count is also lagging. Weaker Chinese demand should not have affected overall cargo counts, but should not be overlooked as part of the impact on market psychology.

December fixture counts indicate another volume slow-

Monthly VLCC cargo count by load area



down for VLCCs, to the benefit of smaller vessels, but a volume ramp-up into January both through higher exports and more Chinese buying of non-sanctioned barrels should lift sentiment and rates going forward.

Source: Fearnleys

Oil market balances pointing toward more (crude) tanker demand

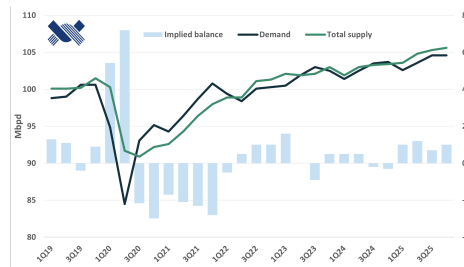
The oil market has YTD been fairly balanced, where weaker demand growth has been met with lower than initially expected supply growth. The OPEC+ has on average produced 900 kbpd less than last year, which offsets much of the 1.5 mbpd non-OPEC+ growth. On an exit to exit basis, global oil supply is flat now vs. Q4'23 - and for the 'normal market' even lower as Iran's supply growth has been 2-300 kbpd.

Next year, the IEA expects a significantly oversupplied oil market, with a near 1 mbpd surplus despite demand growth increasing from 0.9 mbpd this year to 1.1 mbpd next year. Non-OPEC+ is expected to lift production by another 1.5 mbpd, but a big difference from last year is that some catch-up by lagging OPEC+ producers may lead the group's output up by 0.5 mbpd y/y. Hence, Q4'25 production is expected to be more than 2 mbpd higher than now.

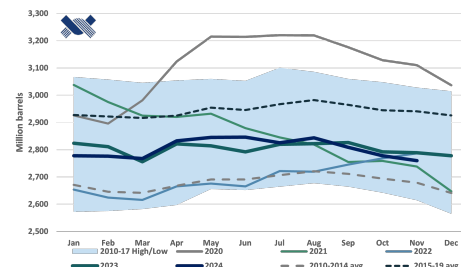
The double whammy of higher overall production and oversupply/contango should lend much greater support to tanker demand than this year, although the IEA's non-OPEC+ supply growth predictions may be a bit optimistic (and includes quite a bit of U.S. NGL).

Going into 2026 supply growth expectations are somewhat lower than for next year, unless demand growth picks up sufficiently so that the OPEC+ can materially unwind cuts.

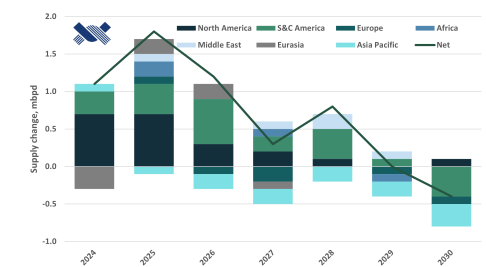
Oil supply / demand balance



OECD industry stocks



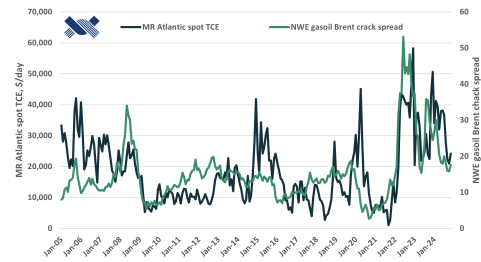
2023-30 oil supply by region



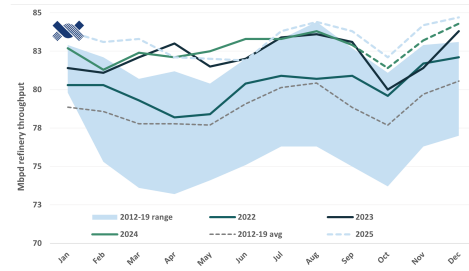
Source: IEA

Refinery runs have risen more than 500 kbpd less than expected this year, as margins have normalised. Next year, capacity additions are likely to be lower than the last two years, and the IEA expects 'only' about 600 kbpd of run growth. Much of the expected run growth is also nearer end-user demand growth, which potentially means shorter average sailing distances, capping tonne-mile growth further. Unless there is a sharp increase in refinery margins, the demand side looks less supportive for product tankers next year than over the last two years.

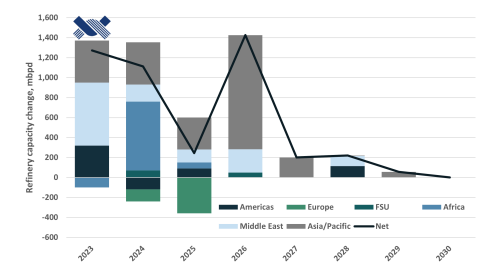
Atlantic MR rates vs. NWE diesel crack spread



Global refinery runs



Refinery capacity additions



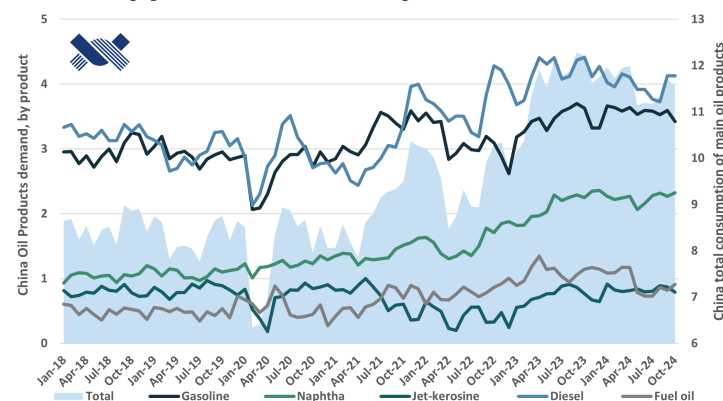
Source: Baltic Exchange, Bloomberg, IEA

China apparent oil demand in September and October was about 500 kbpd higher vs. the low this summer. With that, apparent demand for the full year is flat vs. the same period last year. Interestingly, diesel demand rebounded – some 400 kbpd higher than in July/August – remember when all those stories about heavy trucks switching to LNG came out? Industrial PMIs are back into expansionary territory, which is a better explanation for the diesel demand recovery - and the slump during the summer (although lower LNG prices back then probably had some impact too). Similarly, all those stories about gasoline demand having peaked because of EVs? Gasoline demand YTD is still 3.5% higher than the same period last year as the total car fleet keeps growing rapidly and PHEVs have a significant (and growing) share of the NEV market.

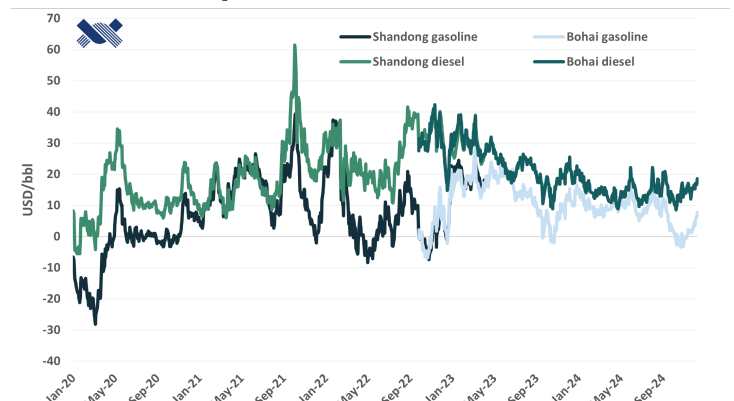
Both refinery runs and crude oil imports slid, and were about 1 mbpd lower than the same time last year. However, both have risen again in November (crude oil imports back to y/y growth) and there are indications of further upside in December. Refinery margins have increased by about 20% in November vs. October, and strengthen further into December. Continued and possibly increased stimulus should help boost demand, although the full effect might take a few quarters to develop.

Reduced tax rebates on product exports from December may negatively impact runs and imports going forward – but should at the same time improve refining economics for other countries in the region to offset any negative impact from China (margins elsewhere in Asia have also risen lately). That could mean a slightly different VLCC market dynamic, where more cargoes are freed up to non-Chinese charterers - assuming that demand in the rest of Asia remains stagnant, or increases - the IEA predicts Asian (ex. China) demand growth of about 400 kbpd next year.

China apparent main oil products demand



China crack spreads



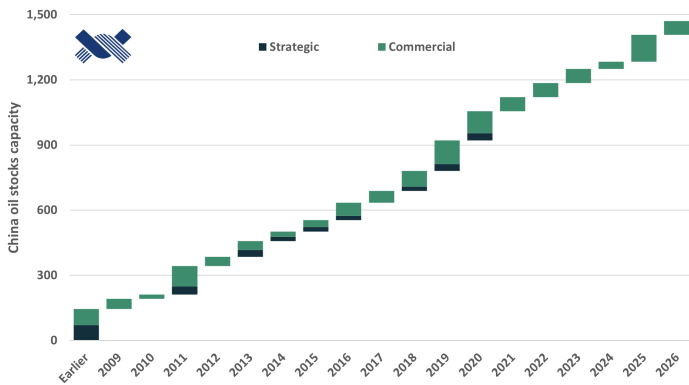
Source: Argus

There are two things which may meaningfully move the needle for the Chinese impact on the tanker market next year: whether it will continue to import as much from Iran and whether it will draw or build inventories.

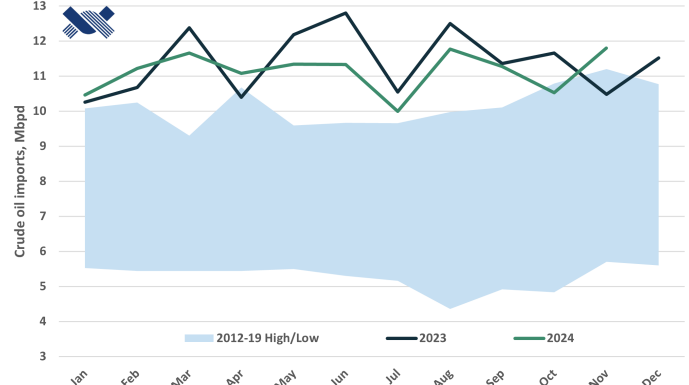
There have been plenty of reports about independent refineries starting to diversify crude sourcing away from Iran recently. The most recent cited prices for Iranian crude are much less discounted vs. non-sanctioned crude (only \$2-3/bbl) than has been the case in the past - which begs the question, is it worth the risk with a more hawkish incoming U.S. government? Chinese buyers are now more actively purchased spot cargoes in West Africa and the Middle East recently, which could be a sign of a shift - as is increasing floating storage of Iranian oil.

This year, China 'only' built 33 mb of storage capacity, and with lower crude oil imports inventories have developed fairly sideways (or drawn slightly when including diesel and gasoline inventories which have drawn quite a bit). Next year, planned inventory capacity expansion is 125 mb, nearly as much as the last three years combined. That, an expected contango in forward curves and possibly lower oil prices given the large oil supply increase next year should incentivise bigger inventory builds next year - which could be a good kicker on the upside for crude demand.

China crude oil storage capacity



China crude oil imports



Source: Argus

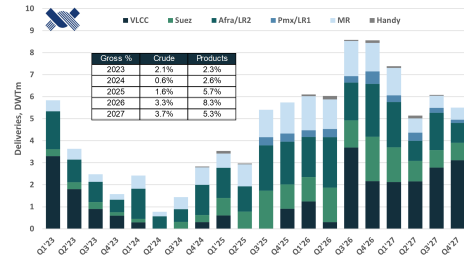
Increasing, but still relatively low fleet growth outlook

Deliveries are set to pick up from the second half of next year, from historical lows which are scheduled to hold for another six months. The pick-up is 'worse' for product tankers, starting the second half of 2025 vs. crude which really only picks up from 2H'26.

The 1.6% scheduled crude tanker deliveries next year will likely be (more than) absorbed by inefficiencies amid new regulations which essentially means (another) year with net negative real carrying capacity. For products the scheduled 5.7% is so high that real carrying capacity should still expand by around 3%, which is not dramatic in a historical context, but may still exceed demand growth for which expectations are relatively low.

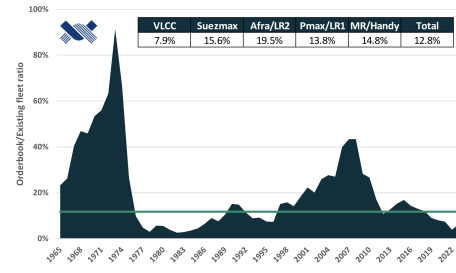
The orderbook to fleet has reached 12.8% as of the beginning of December. Although this is nearly 3x vs. the low early last year, it remains low vs. the historical average of 20%. For further context, by the end of this year 12.1% of the fleet will be at or above the historical average scrap age. Much of this is already semi-phased out in lower utilisation in the shadow fleet. Still, another 3.5% of the fleet turns the same age next year and 2.5% the year after. This likely means continued low fleet growth also in coming years - and that further newbuild orders may be needed toward the end of the decade. For now it seems the order influx has nearly come to a halt, with much fewer orders in recent months and less interest among owners - partly also because yards are sold out well into 2028.

Quarterly deliveries by segment

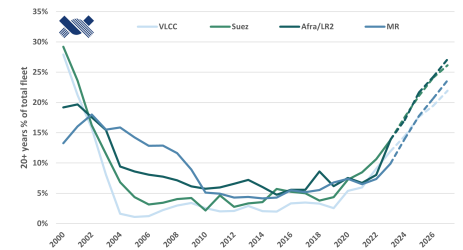


Source: Fearnleys

Orderbook to fleet



20+ years old share of the fleet



Where can we be wrong? The known unknowns

Beyond non-OPEC+ production growth, there are two obvious factors which pose the biggest risks to the outlook: the macroeconomic development and what the new U.S. administration will do vs. Iran.

The macroeconomic risk is by nature difficult to predict, but it is worth highlighting that global debt to GDP figures are historically high, and there are some pointers to resurgent inflation in certain areas.

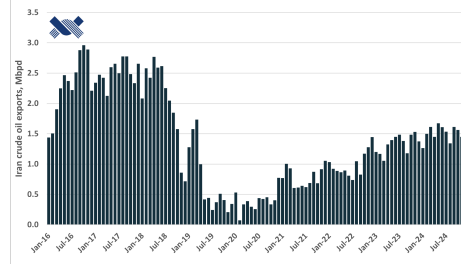
The incoming Trump administration is expected to be much more hawkish on Iran, which all else equal should limit Iran's ability to evade sanctions and could hamper crude oil exports. These have increased by about 200 kbpd this year and 300 kbpd last year. This has covered much of China's crude oil import growth, and left a drag on the 'normal' tanker market. Already, Iranian officials who have previously expressed a desire to increase production further have rather started talking about 'maintaining' current levels.

Furthermore, Chinese independent refiners who have previously bought Iranian crude have shifted interest toward other sources in the Middle East and West Africa. This is partly because the U.S. OFAC has in recent months blacklisted more shadow vessels, some Chinese banks are cautious about financing, ports do not want to accommodate shadow vessels, and the discount for Iranian crude is much narrower than it has been in the past. Following this we also see some more shadow vessels being idle, and floating storage of Iranian crude is on the rise after being drawn in recent months ahead of Trump's inauguration.

It is therefore likely that Iranian exports will decline slightly next year due to increasing U.S. pressure, but the downside may be limited vs. the last time Trump was in office as trade mechanisms have become more established, largely avoiding the U.S. Dollar. That said, the VLCCs that have been added to the OFAC list see about half the utilisation of the rest of the shadow fleet, which again sees half the utilisation of the normal market - which does suggest that sanctions have some impact. Some shadow vessels have been circulated for scrapping too, but not found any takers for fear of secondary sanctions.

If President Trump can use Iranian oil as a bargaining chip in trade discussions with China, there could be further downside risk for Iranian volumes - which may need to be offset by other OPEC+ producers. The latter may be one of the reasons why the group keeps kicking the can re. the cut reversals which there really is no room for given current oil market expectations.

Iran crude oil exports

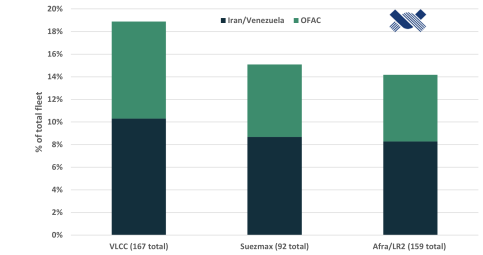


Source: Fearnleys, Vortexa, OFAC

Floating storage Iranian oil



Shadow fleet share of overall fleet

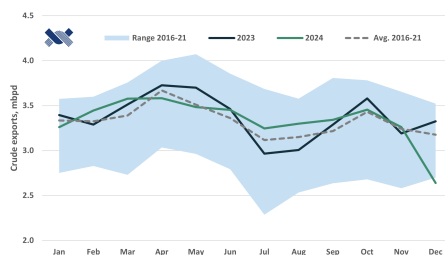


Russia's impact on the market may be another one to watch, in context of Trump's promise to end the Ukraine conflict. We believe there is a rather long way to finding a solution, but recent developments in the Middle East with a weakening Axis of Resistance could be a slight step forward. Still, Russia's support for tanker tonne-miles has declined this year, with falling exports (down 200 kbpd y/y) and a bigger share going on the shadow fleet (the proper one - Iran/Venezuela linked). Russian origin tonne-miles now make up slightly more than 9% of global tonne-miles, which is down from nearly 11% at the peak last year, but still well above the 4-5% it used to be. There is a reported 10-year 500 kbpd supply agreement between Reliance and Rosneft (about one third of India's import from Russia) - which suggests at least part of the trade flow shifts will be sticky in any case.

Further sanctions from the EU recently on the fleet carrying Russian oil in breach of the G7 price cap could also have some impact going forward, especially as some of the older ones in this fleet might find it hard to come back into the normal market under normal circumstances.

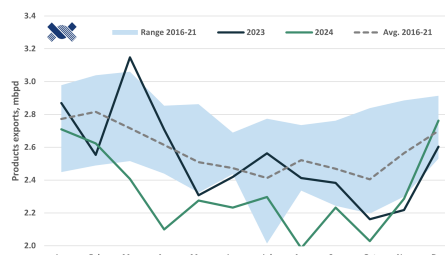
Hence, downside risk from a potential solution to the Russia/Ukraine conflict is more limited than it has been. For the biggest crude tankers it could even help contribute to supporting the West-East arbitrage.

Russia crude oil exports

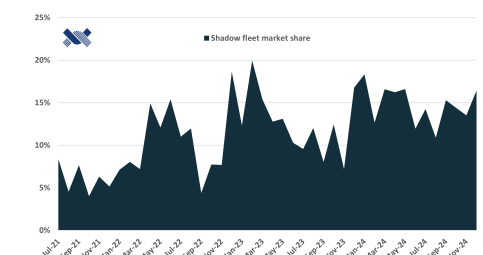


Source: Vortexa

Russia products exports



Shadow fleet share of Russia's crude oil exports



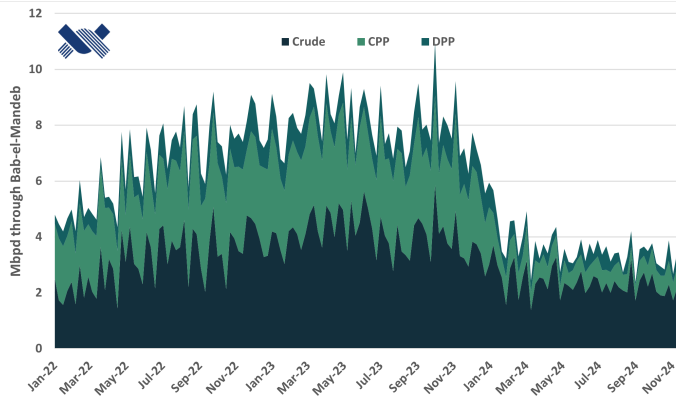
The Red Sea is another risk if the Houthis becomes the last piece of the Axis of Resistance to fold. Given the increased income from 'safe passage payments' and domestic support the Houthis have gained from this campaign it is likely that they will resist pressure to give up anytime soon, however.

Crude volumes through the Red Sea have declined by 1.7 mtpd this year, while COGH passage has only increased by 0.7 mtpd. With that, tonne-miles have declined by about 1%, but the impact on the crude tanker market has likely been more negative, with less migration West-East leaving a surplus of ships in the Atlantic.

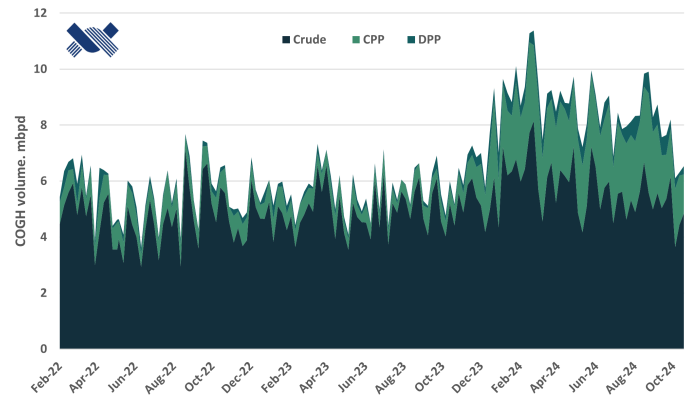
Product volumes have declined by 2.7 mtpd, while COGH diversion has increased by 2 mtpd which gives a tonne-mile increase of close to 5%. Thus, this segment carries the biggest negative risk from any changes.



Red Sea transits



COGH diversions



Source: Vortexa



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